

Fearnleys Tanker Market Wrap-up Jun 2026

Jun 26, 2026

Jonathan S. Staubo

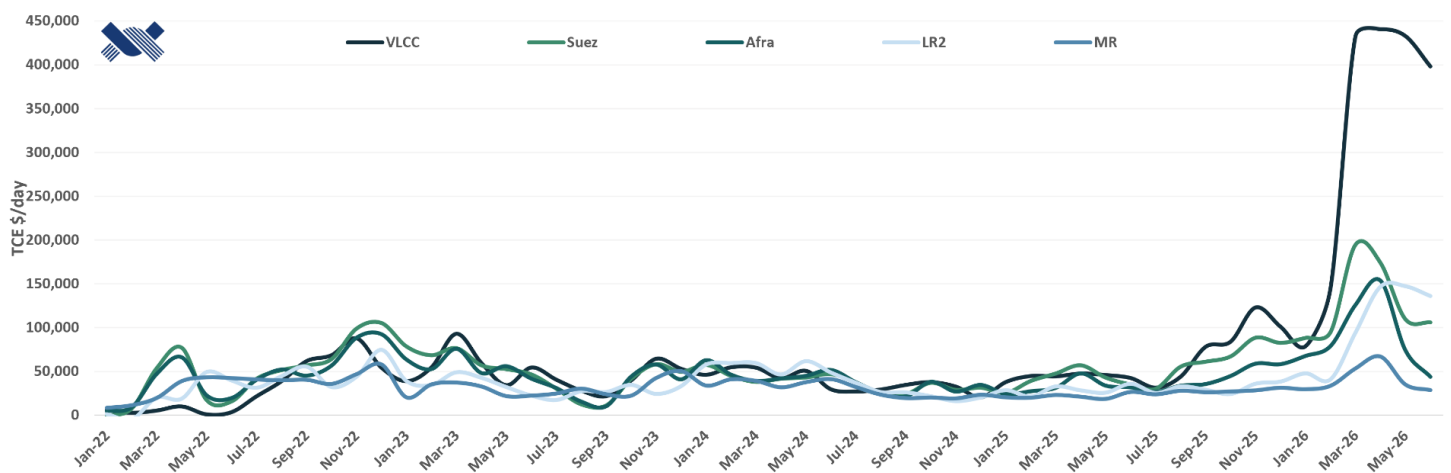
False start

Summary and outlook

Oil prices are back to pre-war levels and the Brent front month spread has flipped to contango as Hormuz transits surge after the Iran/U.S. MOU was finally signed. The energy agencies expect the market to be flooded with oil next year, which means the market outlook for next year has meaningfully improved vs. earlier expectations. That is, IF there is a lasting Iran/U.S. agreement.

That, however, is a big IF. Uncertainty persists, and for every two ships exiting Hormuz over the last week, only one has entered. Fresh loadings are limited, and producers seem cautious about restarting production due to the fragile nature of the 60-day MOU. With a shut West-East arbitrage and potentially underwhelming MEG volume we may get a 'normal' summer market. More evidence of production restart and loadings will be key.

Monthly rates



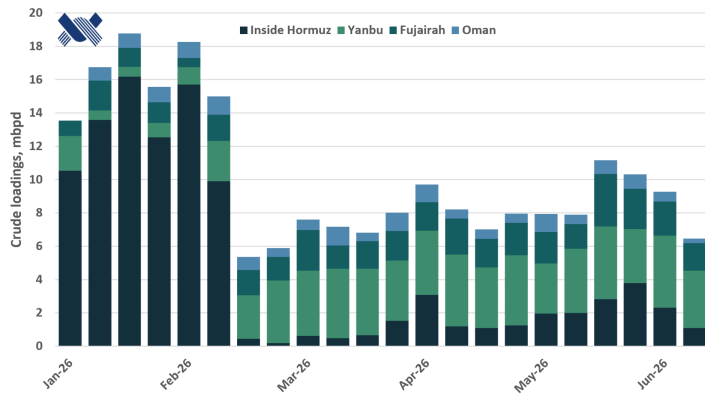
Source: Baltic Exchange, Fearnleys

Global seaborne volumes have recovered over the past few months, although remain some 2-3 mbpd shy of pre-war levels. Another bump is expected very near-term as MEG inventories are emptied, but beyond that we could see another leg down when U.S. inventory draws (likely) end after July and MEG production is unlikely to properly restart until there is more clarity on progress in Iran/U.S. talks.

The latest energy agency oil production and forecasts show a gradual ramp-up with global output coming back to pre-war levels into early next year, before reaching new highs more than 2 mbpd higher than the peak late last year going into the second half of next year. A similar trajectory is expected for refinery runs. That should leave potential for global tanker tonne-mile demand to grow by 3-5% vs. the prior peak - potentially more for the compliant fleet if Iran sanctions are sustainably lifted.

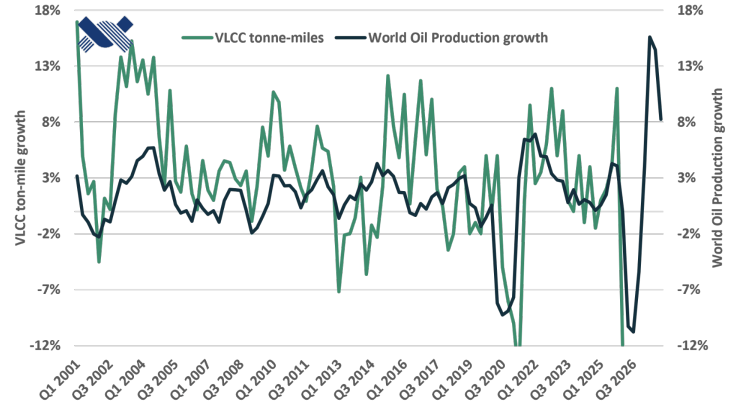
That is still, however, shy of fleet growth of up to 5% this year and 6% next year, although inefficiencies and congestion might ensure that rates can remain relatively elevated also through next year.

Actual crude oil loadings in MEG and surrounding load areas



Source: Vortexa, EIA, Fearnleys

Global oil production vs. tanker tonne-mile demand growth

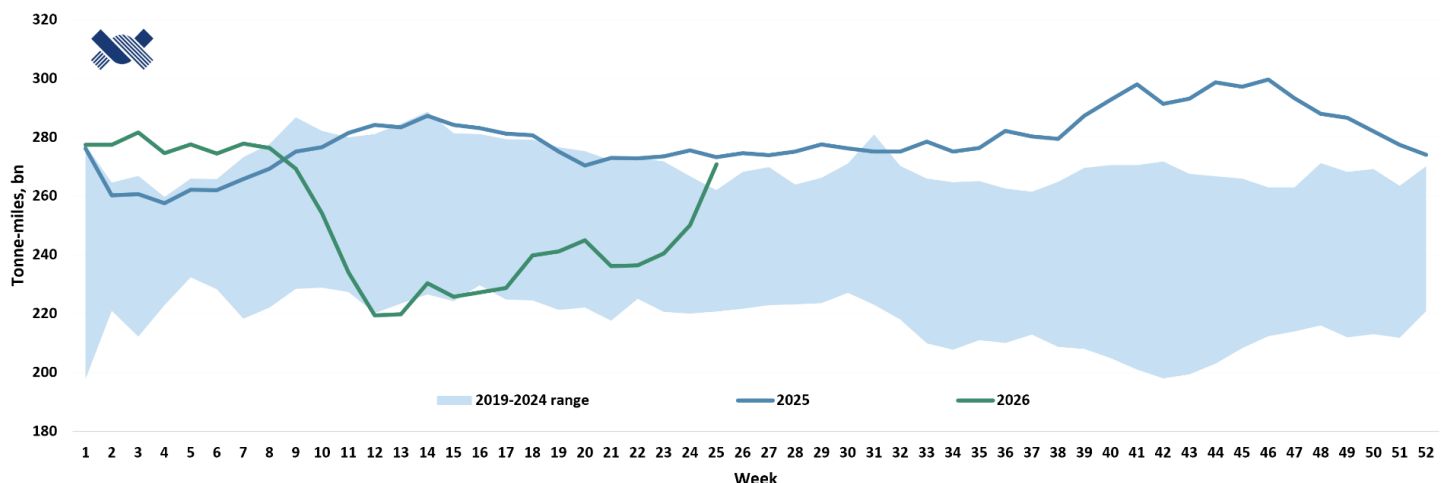


Volumes nearly recovered, but now what?

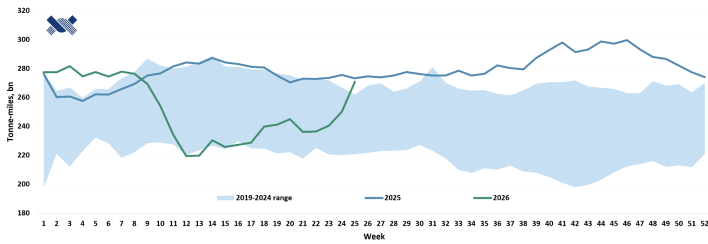
There has been a sharp rebound in tonne-mile demand, driven by the outsized Atlantic-East fixture counts in recent months and a resurgence of MEG exports. The longevity of this bounce is questionable, however, as Atlantic loadings are set to come down, and loadings inside the Hormuz Strait far lag transits.

Over the last week twice as many VLCCs have transited Hormuz outbound vs. inbound, signifying that the recent flow is more about draining inventories than production actually starting up. The most up to date estimates still show MEG production shut-ins well above 10 mbpd, and although crude flow through Hormuz has at times almost been back to normal, tracking of new loadings only indicate up to about 5 mbpd. As long as production does not ramp up, and more vessels do not enter, the recent bounce (in volumes and rates) is unlikely to last.

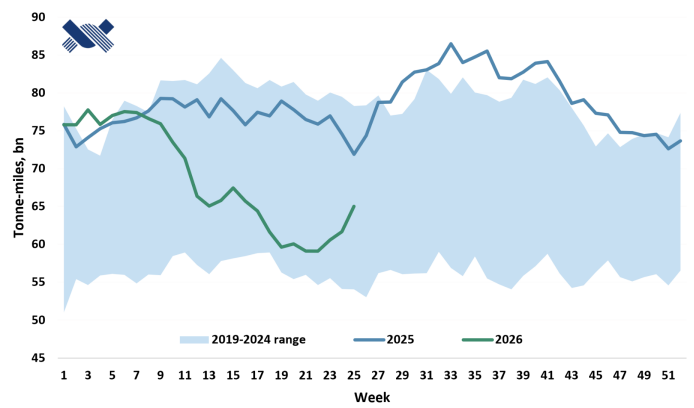
Total tanker tonne-mile demand (-2% vs. Jan, -8% YTD)



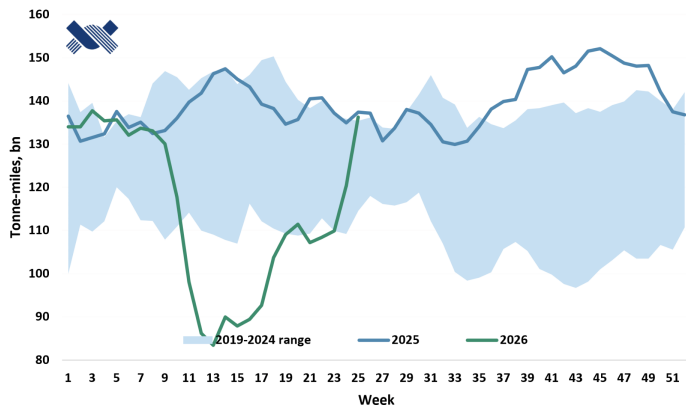
Crude tanker tonne-mile demand (2% vs. Jan, -7% YTD)



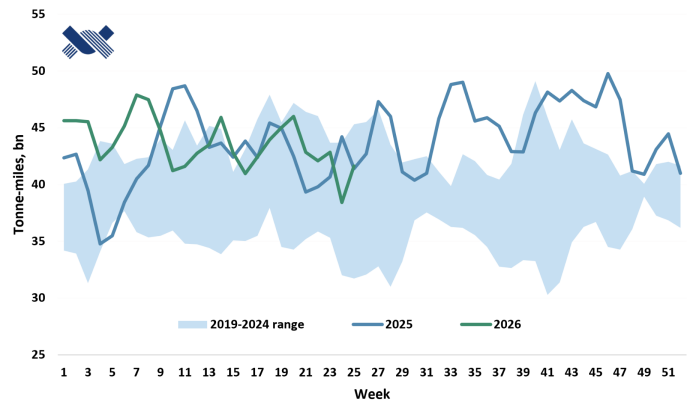
Product tanker tonne-mile demand (-14% vs. Jan, -10% YTD)



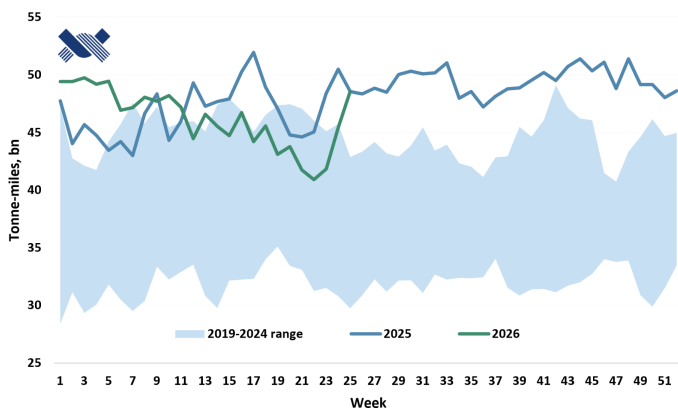
VLCC tonne-mile demand (2% vs. Jan, -17% YTD)



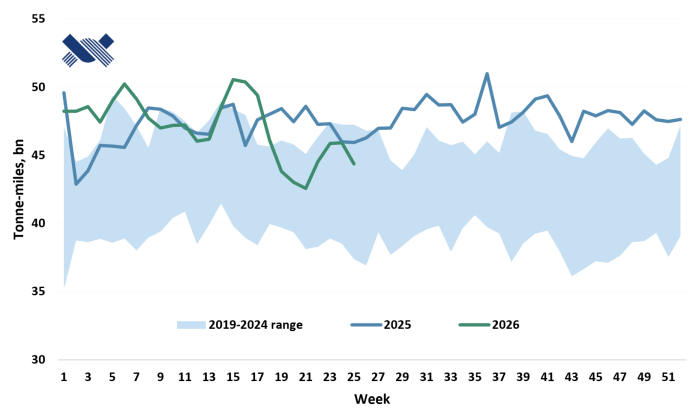
Suezmax tonne-mile demand (-9% vs. Jan, 3% YTD)



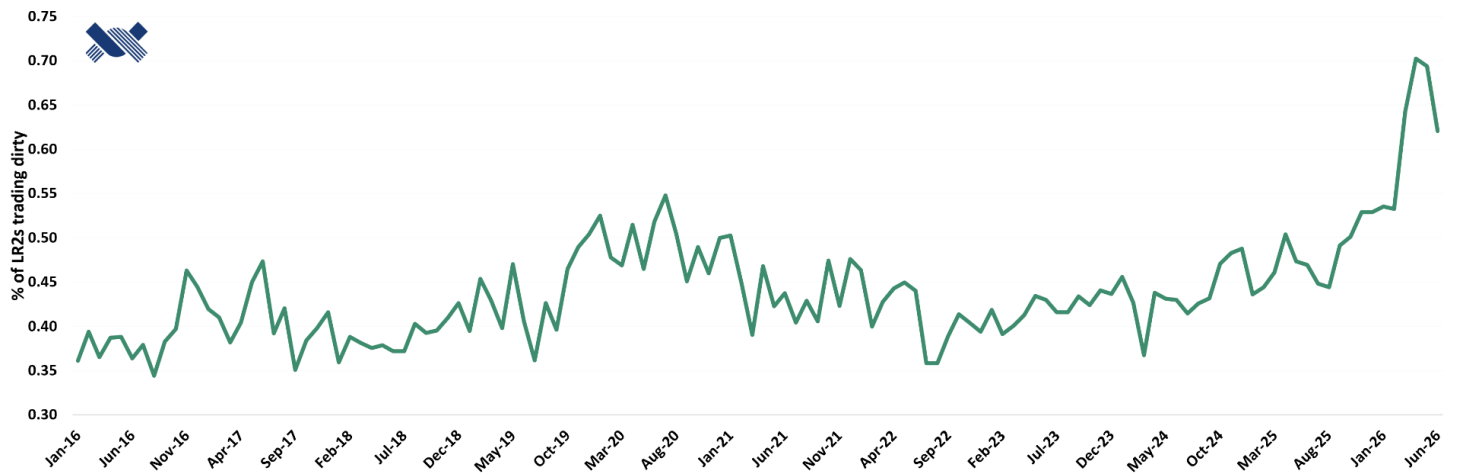
Afra/LR2 tanker tonne-mile demand (-2% vs. Jan, -1% YTD)



MR tonne-mile demand (-8% vs. Jan, 0% YTD)



LR2s starting to clean up again, but remain overweight dirty

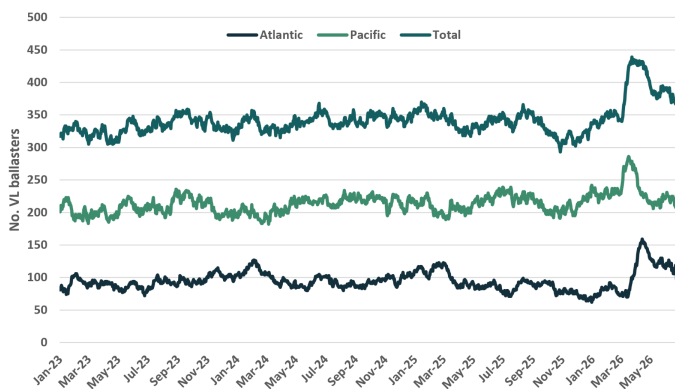


Source: Vortexa

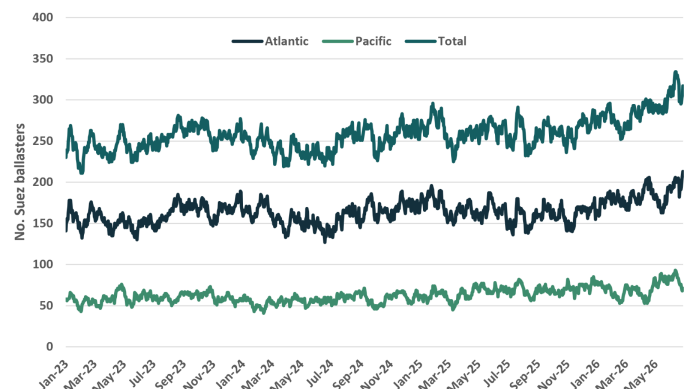
The total number of ballasters remains elevated vs. pre-war levels for all segments. There is a slight deficit in Aframax/LR2 ballasters calling Pacific destinations vs. the Jan/Feb average, although that may be well offset by the number of ballasters without a designated destination having risen substantially vs. the same period. There is thus on paper sufficient tonnage for the 'reopening' and return of MEG volumes, although a few key players continue to hold back tonnage so that in reality the picture is not as clear.

That said, there is also the high number of Atlantic VLCC fixtures in April and May - which is reflected in a rebound in compliant crude oil on the water the last few months. This has tightened the market balance recently, but the flipside is that these ships will soon discharge and come open for MEG cargoes.

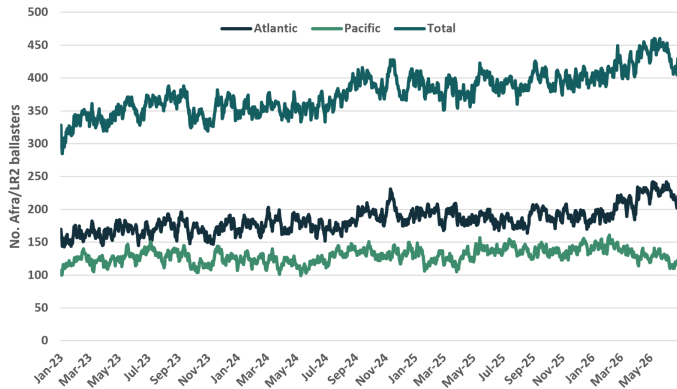
VLCC ballasters (Atlantic +11, Pacific +13, total +35 vs. Jan/Feb)



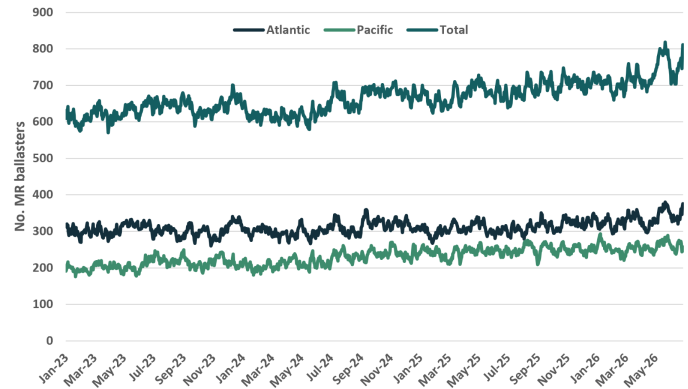
Suez ballasters (Atlantic +36, Pacific +4, total +42 vs. Jan/Feb)



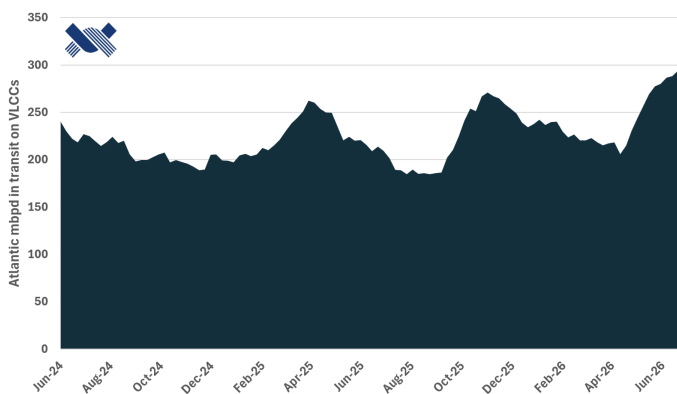
Afra/LR2 ballasters (Atlantic +25, Pacific -22, total +20 vs. Jan/Feb)



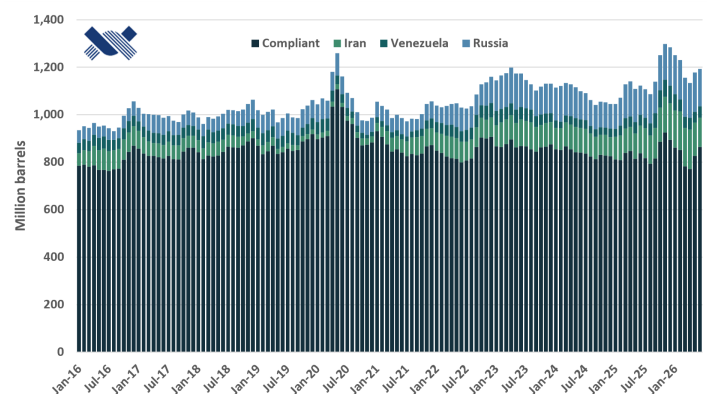
MR ballasters (Atlantic +56, Pacific +4, total +112 vs. Jan/Feb)



Atlantic crude in transit on VLCCs



Crude oil on the water

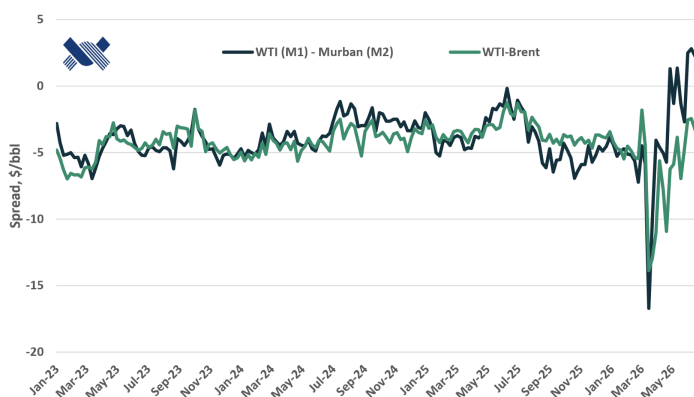


Source: Vortexa

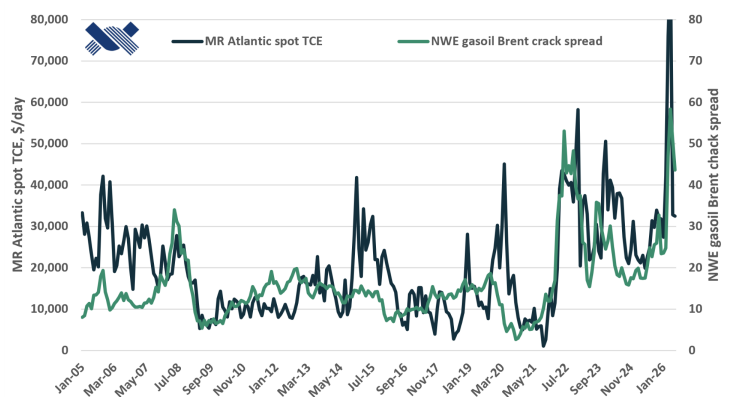
The West-East crude oil arbitrage is closed, and has been for the last few weeks, with a resulting drop in Atlantic-East VLCC fixtures. Recently there have even been more MEG cargoes having to find a home in Europe rather than Asia due to weak demand. Hence, long-haul crude fixtures are likely to be significantly reduced going forward, likely nearly half vs. the April/May peak over the next two months. Less U.S. SPR releases are likely to impact this trade too.

Refinery margins remain well supported globally, and should incentivise refiners to run hard, which in turn should hold product flows high and growing. However, margins have come off the peaks, which combined with lengthy position lists should lead to more normalised MR rates.

Relative crude oil pricing



Atlantic MR rates vs. NWE gasoil crack spread



Source: Bloomberg, Baltic Exchange

Oil market - from glut, to shortage, to glut again. Or is there really one?

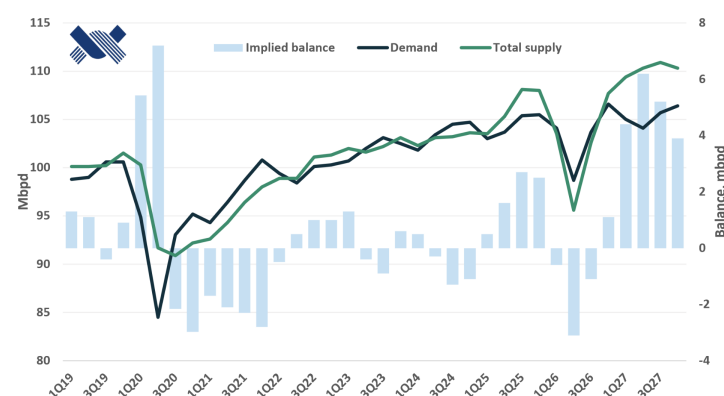
Both the EIA and IEA have now introduced 2027 forecasts, with global supply expected to reach 110+ mbpd by the end of the year - 2.5-3 mbpd higher than the peak at the end of last year. Neither agency expect a full recovery to pre-war production levels until Q1'27.

On the IEA's estimates that may leave a nearly 5 mbpd oversupplied oil market next year, while the EIA's more optimistic demand forecast 'only' suggests a 4 mbpd glut. This does beg the question what will OPEC+ and others do about production - as the global inventory draws this year may be quite quickly replenished. Race to the bottom?

Global inventories have drawn by slightly more than 200 mb YTD through May per the latest IEA estimates, well short of what most had feared. More draws are expected in coming months, possibly close to 100 mb in June alone, but again less than previously feared, and it may not take long before a glut narrative reemerges. If so, there may not be a rush among crude buyers to secure barrels near-term - which is also to an extent reflected in recent oil price development - lower flat prices, lower differentials, Murban and Brent forward curves in contango, etc.

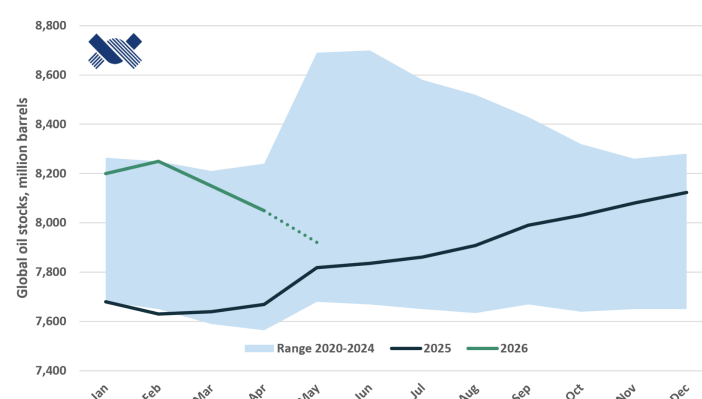
However, that may be more the results of narrative, financial positioning and complacency, as what crude now flows out of Hormuz is largely also an inventory drawdown. Unless Chinese imports remain abnormally low, and MEG crude oil production meaningfully picks up, and soon, the market may be much shorter than currently meets the eye.

IEA oil market balance



Source: IEA

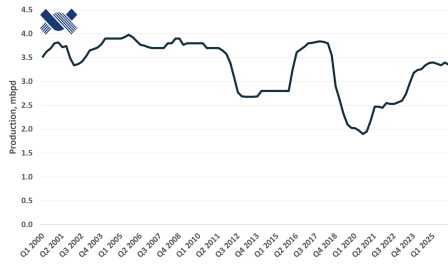
Global oil stocks



There are some upside risks to global oil production going into next year. If Iran and the U.S. can reach a lasting agreement, there is meaningful upside for production over time - some 0.5-1 mbpd. Similarly, Venezuela can produce more given investment, and has already surpassed most expectations in terms of exports - at times up to 0.5 mbpd more than most had forecast by now.

The UAE is another source, with estimated production capacity nearly 1 mbpd higher than pre-war production. Officials have, however, stated that production hikes may be measured according to what market conditions warrant.

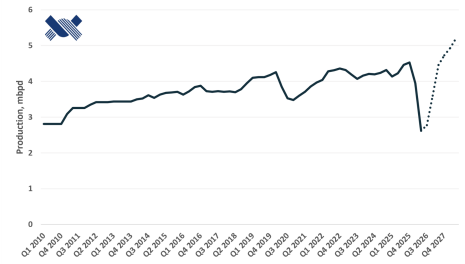
Iran crude oil production



Venezuela crude oil production



UAE crude oil production

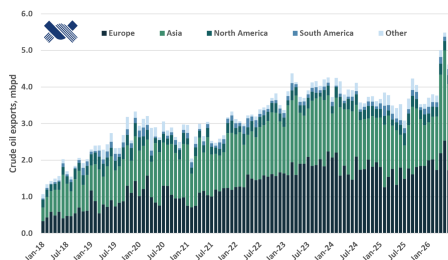


Source: EIA

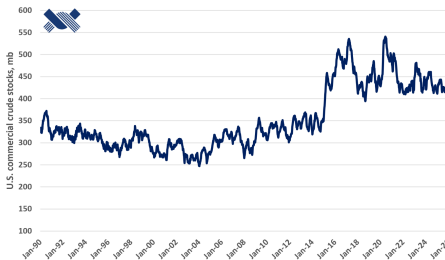
A significant driver for tanker demand recently has been the U.S. where a combination of resilient production and big stock draws have boosted exports by up to 2 mbd. Most of this is now likely to reverse.

U.S. SPR releases are likely coming to an end. In the last tranche, only 500kb were awarded, out of 40 mb offered which suggests very limited appetite (partly due to unfavourable terms and partly oil pricing). With that, about 130 mbd has been awarded, of which about 50 mb remains to be drawn - another 5-6 weeks of draws at recent pace - or another 2-3 weeks of VL fixing. Commercial inventories are also bordering on tight levels, currently sitting at the very low-end of the 2015-26 range - although there is still another 40 mb to go to the 2010-14 average, so there could be some more draws before oil prices would (likely) respond sharply. However, with only marginal backwardation and a lack of arbitrage to Asia, further significant draws may not be likely. Then, the stocks need to be refilled over the next two years, reversing some of the recent flow.

USG crude oil exports by destination



U.S. commercial crude oil inventories



U.S. strategic crude oil inventories



Source: Vortexa, EIA

Iran comeback net neutral impact for the tanker market near-term

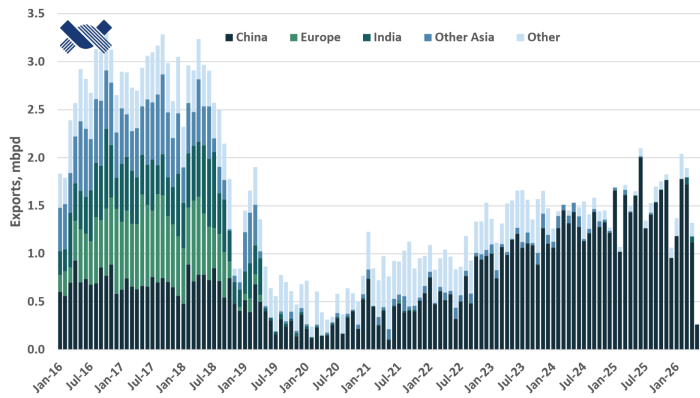
The OFAC's waivers on Iranian crude exports may in isolation give a boost to the tanker market, but there are also waivers on the sanctioned ships. Unless Iranian crude exports go to other buyers than Chinese independent refiners and India, which would be the most likely takers, it is unlikely that a lot will go on anything other than the shadow/sanctioned fleet.

There are 60 VLCCs in the shadow/sanctioned fleet which are 20 years or younger and are therefore likely to be utilised for Iranian exports near term. That should be sufficient to cover most exports.

Considering the limited time-period, and fragile peace, there may not be a lot of independent owners or buyers going in, unless there is a more sustainable peace and lifting of sanctions. Longer term, however, this may become more of a positive development for the tanker market balance.

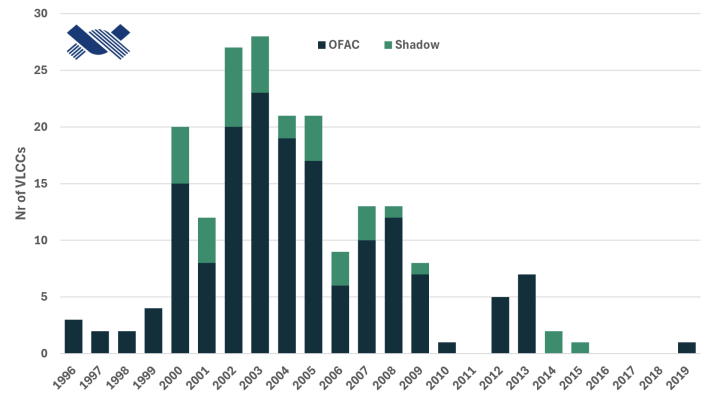


Iran crude oil exports by destination



Source: Vortexa, Fearnleys, OFAC

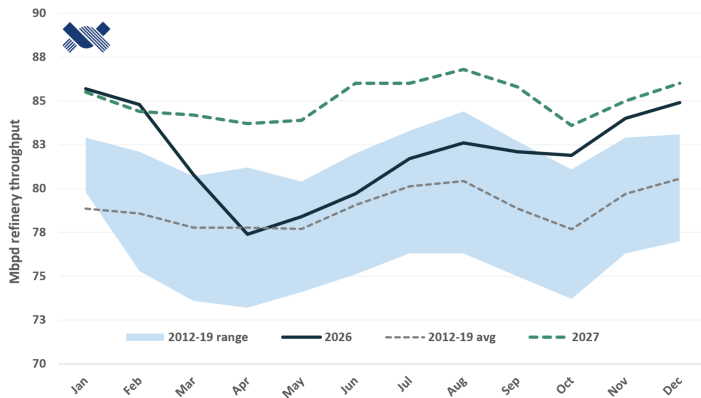
Shadow/sanctioned VL fleet age distribution



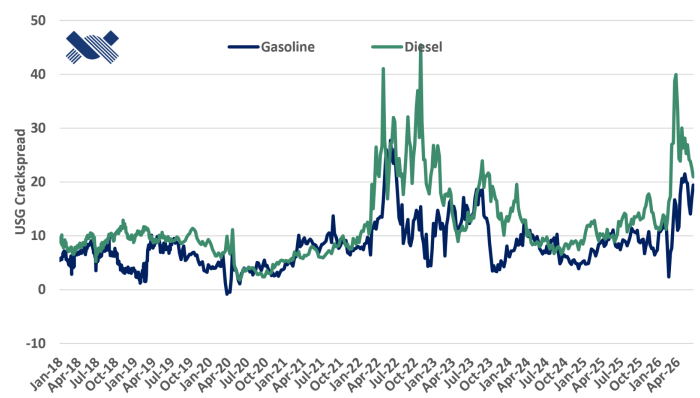
Global refinery runs remain depressed by shut-ins in the MEG and Ukrainian drone attacks on Russian refineries. That has supported crack spreads which remain much better supported than crude prices.

Amid these higher prices there may be decent room for freight, but with ample position lists in most areas, the risk of LR2s switching back to clean as Aframax rates have come off, and low volumes as long as Hormuz uncertainty persists, rates may see some headwinds through the summer. Here too, more clarity on a Hormuz reopening is needed.

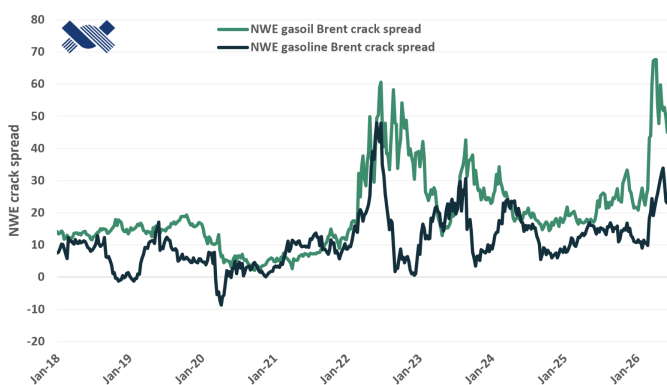
Global refinery runs



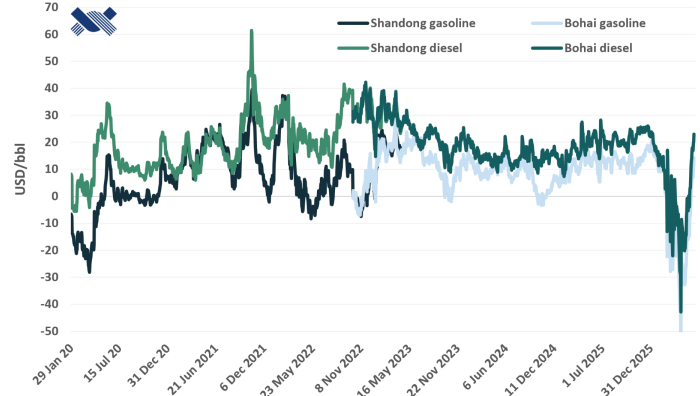
U.S. Gulf Coast crack spreads



Northwest Europe crack spreads



Bohai Bay crack spreads



Source: IEA, EIA, Bloomberg, Argus

Fleet growth will ultimately spoil the party

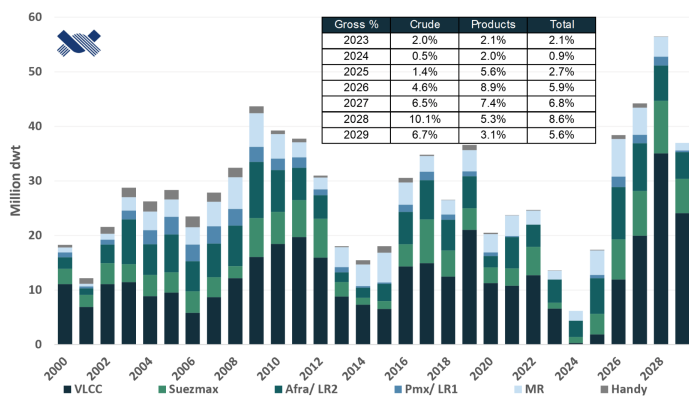
In line with rising rates and secondhand values the orderbook has risen dramatically. Over Q4'25-Q1'26 more orders were placed than over the eight preceding quarters combined (Q2'26 shows orders that have been confirmed so far, and is likely to rise). At the beginning of June the total orderbook to fleet stood at 25%, up more than 6% points since the beginning of the year - that is after the fleet has grown by slightly more than 2% YTD. Including reported and rumoured orders, we would not be surprised if we hit 30% orderbook to fleet soon.

There is eventually meaningful phase-out potential too, but insufficient the next few years. The VL, Suez, Afra/LR2 and MR orderbook now stands at a combined 155m dwt. The compliant vessels within the same segments which are already or will become 25 years old the next three years (realistic scrap age given long-lived rate strength) amounts to 'only' 21m dwt.

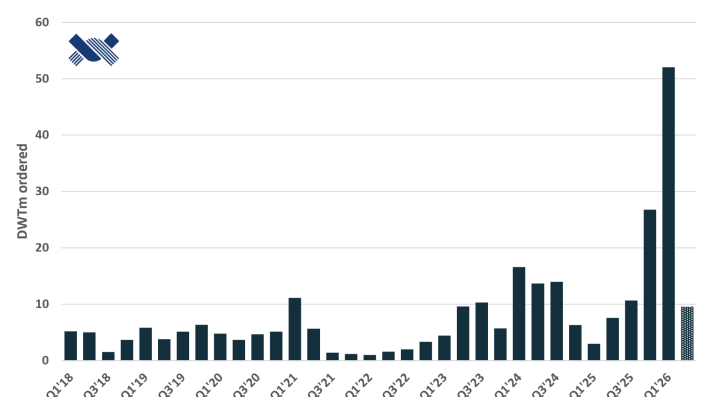
The mismatch between the orderbook and realistic phase-out candidates the next three years is equal to 20% of the current fleet.

That is too much, although eventually more phase-out will help rebalance the market.

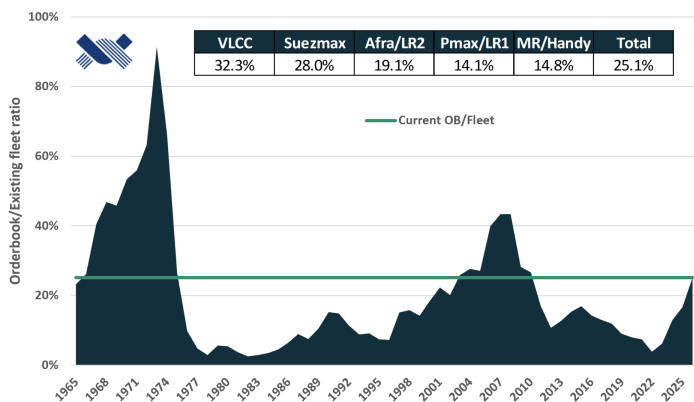
Annual tanker deliveries



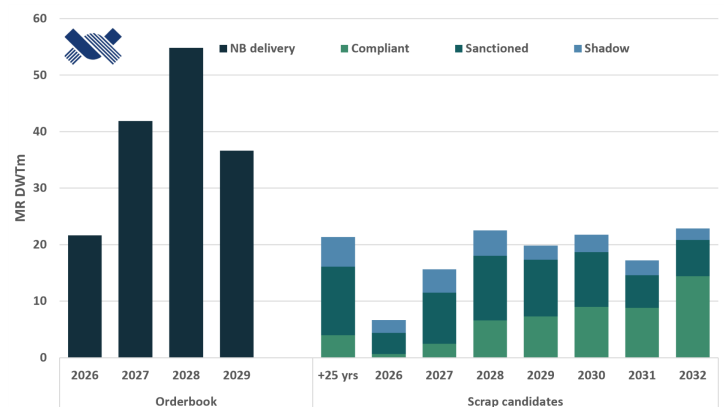
Quarterly tanker orders



Orderbook to fleet



Orderbook vs. phase-out potential (25+ years)



Source: Fearnleys



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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

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